3 EMA STRATEGIES TO MASTER

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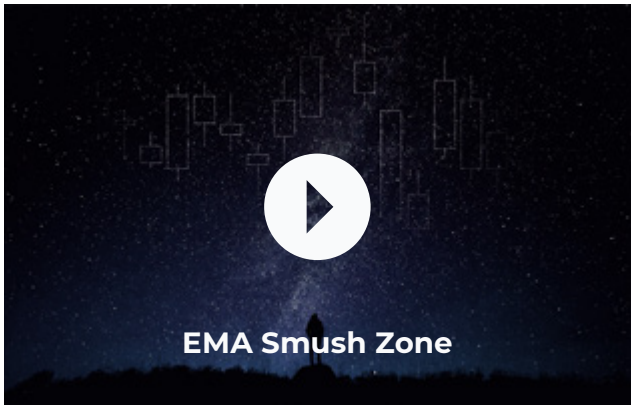
Traders know that they have to play what the market gives, and sometimes that means trading less, and sometimes that means adapting to a changing market. Moving averages are powerful support and resistance zones that many traders and algorithms watch in order to create if/then scenarios for buying and selling.

HERE ARE THREE EMA STRATEGIES TO ADD TO YOUR TRADING TOOLBELT…

1. The Smush Zone

The Smush Zone setup is similar to an equilibrium, but uses the power of EMA's to create a lot of pressure on the system. Sometimes we don't have a perfect pennant, sometimes it's just choppy action, with slight lower lows, and slight higher highs, but all contained by the key EMAs acting as support underneath, and resistance overhead, until they smush so close together creating a champagne pop. Look for choppy price action with key EMAs (50 over head and 12 under pictured here) that are containing the price. The entry is on the breakout, or breakout and backtest. Key things to watch for: Price must close over (or under - if playing short) the EMA, and it must hold it on the next two consecutive closes - or else it's at risk of a fake-out.



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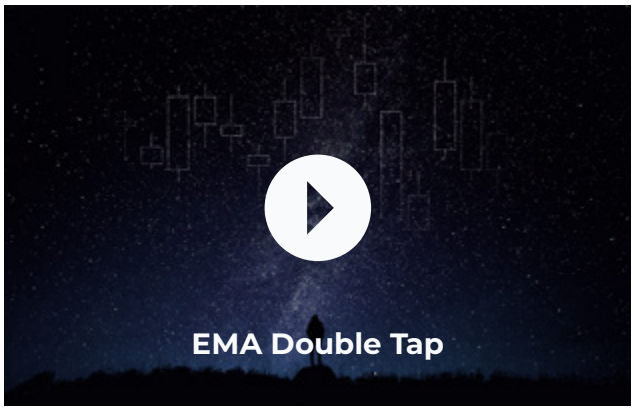
2. The Double Tap

The double tap is a consolidation play for a short day trade. After a decent sized move, we often look for consolidation. The key here for the double tap, is that the candle that is opening (daily candle works best for this strategy, but it is the setup for a day trade), is in between two daily EMAs, usually this will happen with the 5 and 12, or 12 and 20 EMAs. The setup is based on the fact that after a big move, consolidation will come, and it will come in one of two ways, a dip and continuation, or a slight uptick into consolidation. Whichever the scenario, we are watching for the candle that opens in the middle of the range to tap BOTH EMAs, one from the top side, and one from the bottom side. If it goes up first and rejects, we play it down to the other, if it goes down first and has a bounce, we want to play it up to the overhead EMA.



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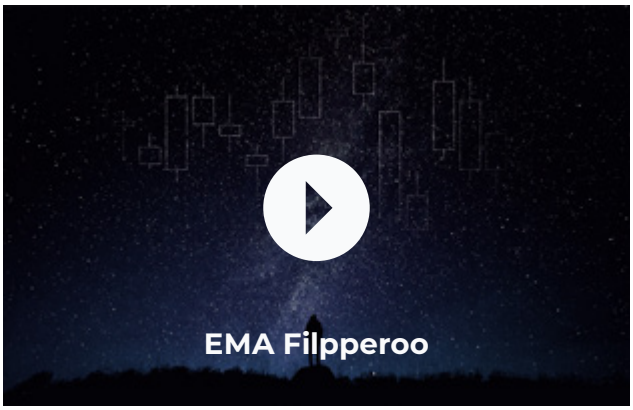
The chart above is an example on QCOM. The 12 EMA is marked below, and the 20 EMA (on the daily) marked above. QCOM opened in the middle of the range after a strong move the previous day, tapped the 12 EMA from the top side, then shot up later in the day to re-tap the 20 where it had rejected the prior day. Once both taps have happened, the trade plan is closed.

3. The Flipperoo

The flipperoo is a moving average flipping strategy. In the setup, you're looking for a moving average that is "driving the price down". No matter how many times it tries, the price simply won't close above it. That moving average then becomes the holy grail of this setup (and it doesn't always have to be the same one). In this situation, the 12 EMA was driving down the price of gold consistently. Once it closes over it, we look for it to backtest and becomes support in order to enter the trade. "Becoming support" means that we're looking for consecutive closes over, so if we get one close over then immediately dump and close below, that is a red flag. Below we can see there was one fake out, and then back inside turned into a smush zone and broke out.



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These strategies are quick and simple, and can be used with other indicators (RSI, TTM squeeze etc) or just on their own. Happy Trading!

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